

Coverage Interpretation Notes — Frequently Disputed Provisions

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Audience: Adjusters, claims counsel liaison, and adjudication support tools

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This document collects interpretive guidance for Policy Wording provisions that generate recurring questions or disputes. It clarifies how existing provisions apply — it does not create new coverage or new exclusions.

1. "Occupying" — Scope of Part B and Part C

Policy Wording Section 1 defines "occupying" as "in, upon, getting in, on, out, or off." A person standing immediately next to the covered auto while loading it, or who has just stepped out and is standing in its immediate vicinity when struck, is generally still "occupying" for Part B/Part C purposes — the definition is deliberately broader than "seated inside with the door closed." This matters most for Medical Payments claims involving a person injured while loading cargo or changing a tire.

2. "Resident Relative" — What Counts as Residence

A "resident relative" under Part A is a relative who resides in the same household as the named insured, which is a facts-and-circumstances determination, not a formal domicile test. A college student living away during the school year but returning to the household during breaks and holidays is generally still treated as a resident relative, consistent with how real personal auto policies typically apply this term; a relative who has established a separate, permanent residence is not.

3. "Collision" vs. "Comprehensive" — Borderline Fact Patterns

A single-vehicle loss caused by striking a pothole or curb is Collision, not Comprehensive, because it involves the vehicle's collision with an object. A loss caused by road debris striking the vehicle while in motion (a rock kicked up by

another vehicle) is Comprehensive, because the vehicle did not collide with the object in the ordinary sense — the object struck the vehicle. This distinction directly affects which deductible applies and, for glass-only claims under PAP-2025-STD, whether the glass waiver is even in play (it only applies to Comprehensive).

4. "Business Use" — Where the Line Sits

Using a personal vehicle to commute to a regular workplace is not business use requiring a separate endorsement. Using it to make deliveries for compensation, to transport clients as part of a job, or for any use where the vehicle itself generates income beyond ordinary commuting, is business use under the Standard Exclusions Addendum's Undisclosed Business Use exclusion, unless a business-use endorsement is attached. Ride-share/TNC use is treated separately under its own named exclusion (PAP-2025-STD) or under the general business-use exclusion (PAP-2024-STD), per the Claims FAQ.

5. "Permission" to Use the Covered Auto

Part A extends coverage to "any person using your covered auto with your permission." Permission may be express (explicitly handing over the keys for a specific purpose) or implied (a household member with general, ongoing access to the vehicle). A person who takes the vehicle without any form of permission — a theft — is not a permitted user, and any resulting liability is not covered under Part A for that person, though the vehicle owner's own Comprehensive coverage for the theft itself is unaffected by this distinction.

6. Interaction Between Exclusions and Endorsements

An endorsement that removes an exclusion (for example, the Ride-share/TNC Endorsement removing the ride-share exclusion) removes it only to the extent and for the use described in that endorsement. It does not remove other, unrelated exclusions that might also apply to the same loss — for example, a ride-share driver who is also intoxicated at the time of the accident is still excluded under the Driving Under the Influence exclusion, notwithstanding having the Ride-share/TNC Endorsement attached.

7. "Reasonable and Necessary" — Medical Payments

Part B pays "reasonable and necessary" medical expenses. This is evaluated against customary charges for the type of treatment in the relevant geographic area, not simply whatever amount was billed. A charge significantly above typical rates for

the same treatment may be reduced to a reasonable amount rather than paid in full, with the basis for any reduction documented.

8. Concurrent Causation

Where a loss has two causes, one covered and one excluded (for example, a mechanical failure — generally not covered per the Standard Exclusions Addendum — that then causes a collision, which is covered), the covered cause's resulting damage is paid and the excluded cause's own damage is not. This requires separating what damage flows from which cause, documented in the claim file per the Claims Handling Procedures Manual, Section 3.1, rather than either paying or denying the entire claim on an all-or-nothing basis.

9. Notice Requirements Are Conditions, Not Forfeitures

Part E's duties (prompt notice, cooperation, proof of loss) are conditions to coverage, not automatic forfeiture triggers. A minor, unprejudicial delay or omission in complying with a Part E duty does not by itself void an otherwise valid claim — see Scenario W9 in the Claim Scenario Workbook for a worked example of this principle.

10. Relationship of This Document to the Policy Wording

Nothing in this document overrides the Policy Wording itself. Where this document's interpretive guidance and the Policy Wording's actual text appear to diverge, the Policy Wording controls, and the divergence should be reported for correction of this document rather than relied upon as an exception to the policy.